

DISPUTE SETTLEMENT

DS593: European Union — Certain Measures Concerning Palm Oil and Oil Palm Crop-Based Biofuels

Current status

- Report(s) adopted, with recommendation to bring measure(s) into conformity on 24 February 2025 ⓘ

Key facts

Short title:	EU — Palm Oil (Indonesia)
Complainant:	Indonesia
Respondent:	European Union
Third Parties (original proceedings):	Argentina; Australia; Brazil; Canada; China; Colombia; Costa Rica; Ecuador; Guatemala; Honduras; India; Japan; Malaysia; Norway; Russian Federation; Singapore; Korea, Republic of; Thailand; Turkey; United States

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See also:

- News items about this dispute
- The basics: how disputes are settled in WTO (https://www.wto.org/english/thewto_e/whatis_e/tif_e/disp1_e.htm)
- Computer based training on dispute settlement (https://www.wto.org/english/tratop_e/dispu_e/dispu_settlement_cbt_e/signin_e.htm)
- Text of the Dispute Settlement Understanding (<https://www.wto.org>)

Agreements cited:
(as cited in request for
consultations)

Art. [I:1](https://www.wto.org/english/docs_e/legal_e/gatt47_e.htm#art1_1)
(https://www.wto.org/english/docs_e/legal_e/gatt47_e.htm#art1_1), [III:4](https://www.wto.org/english/docs_e/legal_e/gatt47_e.htm#art3_4)
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(https://www.wto.org/english/docs_e/legal_e/gatt47_e.htm#art10_3_a), [XI:1](https://www.wto.org/english/docs_e/legal_e/gatt47_e.htm#art11_1)
(https://www.wto.org/english/docs_e/legal_e/gatt47_e.htm#art11_1) GATT 1994
Art. [1.1\(a\)\(ii\)](https://www.wto.org/english/docs_e/legal_e/scm_e.htm#art1_1_a_2)
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(https://www.wto.org/english/docs_e/legal_e/scm_e.htm#art5_c) Subsidies and
Countervailing Measures (SCM)
Art. [2.1](https://www.wto.org/english/docs_e/legal_e/tbt_e.htm#art2_1) (https://www.wto.org/english/docs_e/legal_e/tbt_e.htm#art2_1), [2.2](https://www.wto.org/english/docs_e/legal_e/tbt_e.htm#art2_2)
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(https://www.wto.org/english/docs_e/legal_e/tbt_e.htm#art12_3) Technical Barriers to
Trade (TBT)

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Agreements cited: (as cited in panel request)	Art. I:1 (https://www.wto.org/english/docs_e/legal_e/gatt47_e.htm#art1_1), III:2 (https://www.wto.org/english/docs_e/legal_e/gatt47_e.htm#art3_2), III:4 (https://www.wto.org/english/docs_e/legal_e/gatt47_e.htm#art3_4), X:3(a) (https://www.wto.org/english/docs_e/legal_e/gatt47_e.htm#art10_3_a), XI:1 (https://www.wto.org/english/docs_e/legal_e/gatt47_e.htm#art11_1) GATT 1994 Art. 1.1(a)(ii) (https://www.wto.org/english/docs_e/legal_e/scm_e.htm#art1_1_a_2), 3.1(a) (https://www.wto.org/english/docs_e/legal_e/scm_e.htm#art3_1_a), 5 (https://www.wto.org/english/docs_e/legal_e/scm_e.htm#art5), 5(c) (https://www.wto.org/english/docs_e/legal_e/scm_e.htm#art5_c) Subsidies and Countervailing Measures (SCM) Art. 2.1 (https://www.wto.org/english/docs_e/legal_e/tbt_e.htm#art2_1), 2.2 (https://www.wto.org/english/docs_e/legal_e/tbt_e.htm#art2_2), 2.4 (https://www.wto.org/english/docs_e/legal_e/tbt_e.htm#art2_4), 2.5 (https://www.wto.org/english/docs_e/legal_e/tbt_e.htm#art2_5), 2.8 (https://www.wto.org/english/docs_e/legal_e/tbt_e.htm#art2_8), 2.9 (https://www.wto.org/english/docs_e/legal_e/tbt_e.htm#art2_9), 5.1.1 (https://www.wto.org/english/docs_e/legal_e/tbt_e.htm#art5_1_1), 5.1.2 (https://www.wto.org/english/docs_e/legal_e/tbt_e.htm#art5_1_2), 5.2 (https://www.wto.org/english/docs_e/legal_e/tbt_e.htm#art5_2), 5.6 (https://www.wto.org/english/docs_e/legal_e/tbt_e.htm#art5_6), 5.8 (https://www.wto.org/english/docs_e/legal_e/tbt_e.htm#art5_8), 12.1 (https://www.wto.org/english/docs_e/legal_e/tbt_e.htm#art12_1), 12.3 (https://www.wto.org/english/docs_e/legal_e/tbt_e.htm#art12_3) Technical Barriers to Trade (TBT)
Consultations requested:	9 December 2019
Panel requested:	18 March 2020

Panel established:	29 July 2020
Panel composed:	12 November 2020
Panel report circulated:	10 January 2025 (adopted on 24 February 2025)

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[WT/DS593/18](#) | **8 July 2025**

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Summary of the dispute to date

The summary below was up-to-date at 30 April 2025 

Consultations

Complaint by Indonesia

On 9 December 2019, Indonesia requested consultations with the European Union regarding certain measures imposed by the European Union and its member States concerning palm oil and oil palm crop-based biofuels from Indonesia.

Indonesia claimed that the measures imposed by the European Union appear to be inconsistent with:

- Articles 2.1, 2.2, 2.4, 2.5, 2.8, 2.9, 5.1.1, 5.1.2, 5.2, 5.6, 5.8, 12.1 and 12.3 of the TBT Agreement; and
- Articles I:1, III:4, X:3(a) and XI:1 of the GATT 1994.

Indonesia claimed that the measures imposed by the European Union member States appear to be inconsistent with:

- Articles 3.1(b) and 5 of the SCM Agreement; and
- Articles I:1 and III:2 of the GATT 1994.

On 19 December 2019, Costa Rica and Guatemala requested to join the consultations. On 20 December 2019, Colombia requested to join the consultations. On 23 December 2019, Malaysia requested to join the consultations. On 24 December 2019, Argentina requested to join the consultations. On 26 December 2019, Thailand requested to join the consultations. Subsequently, the European Union informed the DSB that it had accepted the requests of Colombia, Costa Rica, Guatemala, Malaysia, and Thailand to join the consultations.

Panel and Appellate Body proceedings

On 18 March 2020, Indonesia requested the establishment of a panel. At its meeting on 29 June 2020, the DSB deferred the establishment of a panel.

At its meeting on 29 July 2020, the DSB established a panel. Argentina, Brazil, Canada, China, Colombia, Costa Rica, Ecuador, Guatemala, Honduras, India, Japan, Korea, Malaysia, Norway, Russia, Singapore, Thailand, Turkey and the United States reserved their third-party rights.

On 2 November 2020, Indonesia requested that the composition of the panel be determined pursuant to Article 8.7 of the DSU. On 12 November 2020, Deputy Director-General Yonov Frederick Agah, acting in place of the Director-General, composed the panel.

On 8 June 2021, the Chair of the panel informed the DSB that in accordance with the timetable adopted by the panel, after consultations with the parties, the panel estimated to issue its final report to the parties not before the second quarter of 2022. The Chair apprised the DSB that the report would be available to the public once it was circulated to the Members in all three official languages, and that the date of circulation depends on completion of translation. On 22 February 2023, the Chair of the panel informed the DSB that in light of the complexity of the legal and factual issues that had arisen in the dispute, the panel expected to issue its final report to the parties not before the third quarter of 2023.

On 5 March 2024, the Chair of the panel informed the DSB that the panel had granted Indonesia's request of 4 March 2024 that the panel suspend its work pursuant to Article 12.12 of the DSU for a period of two months. Subsequently, the Chair informed the DSB of several requests from Indonesia to extend the suspension of the panel's work. In its most recent communication, dated 8 November 2024, the Chair informed the DSB that the panel had granted Indonesia's request of 6 November 2024 to extend the suspension of the panel's work until 9 January 2025. The Chair indicated that the panel would resume its work and circulate the panel report on 10 January 2025.

On 10 January 2025, the panel report was circulated to Members.

Summary of key findings	▲
With regard to the EU measures at issue, the Panel found that:	
- the 7% maximum share and the high ILUC-risk cap and phase-out were technical regulations within the meaning of Annex 1.1 to the TBT Agreement; - Indonesia failed to establish that the 7% maximum share and the high ILUC-risk cap and phase-out were inconsistent with the obligation in Article 2.4 of the TBT Agreement to use relevant international standards as a basis for technical regulations; - Indonesia failed to establish that the 7% maximum share and the high ILUC-risk cap and phase-out were inconsistent with the obligation in Article 2.2 of the TBT Agreement to ensure that technical regulations are not more trade-restrictive than necessary to fulfil a legitimate objective; - the European Union administered the high ILUC-risk cap and phase-out inconsistently with Article 2.1 of the TBT Agreement by failing to conduct a timely review of the data used to determine which biofuels were high ILUC risk, and because there were deficiencies in the design and implementation of the low ILUC-risk criteria, which resulted in arbitrary or unjustifiable discrimination between countries where the same conditions prevail; - Indonesia had not established that the European Union acted inconsistently with Article 2.5 of the TBT Agreement by failing to explain the justification for preparing, adopting or applying the high ILUC-risk cap and phase-out in terms of Articles 2.2 to 2.4 of the TBT Agreement; - Indonesia failed to establish that the high ILUC-risk cap and phase-out was inconsistent with the obligation in Article 2.8 of the TBT Agreement to whenever appropriate specify technical regulations in terms of performance rather than design or descriptive characteristics;	

- ❑ regarding the claims under Article 2.9 of the TBT Agreement, the European Union acted inconsistently with: (i) Article 2.9.2 by failing to notify the proposed 7% maximum share and the proposed high ILUC-risk cap and phase-out measures; and (ii) Article 2.9.4 by having failed to organize a commenting process in respect of the proposed 7% maximum share and the proposed high ILUC-risk cap and phase-out measures in accordance with the requirements of that provision;
- ❑ the low ILUC-risk certification procedure was a “conformity assessment procedure” within the meaning of Annex 1.3 to the TBT Agreement;
- ❑ Indonesia failed to establish that the low ILUC-risk certification procedure was inconsistent with the obligation in Article 5.1.1 of the TBT Agreement to ensure that conformity assessment procedures grant access for suppliers of like products originating in the territories of other Members under conditions no less favourable than those accorded to suppliers of like products of national origin or originating in any other country;
- ❑ the low ILUC-risk certification procedure as set out in Article 6 of the Delegated Regulation was inconsistent with Article 5.1.2 of the TBT Agreement since deficiencies in the implementation of the low ILUC-risk procedure had created unnecessary obstacles to international trade;
- ❑ Indonesia failed to establish that the European Union acted inconsistently with the obligation in Article 5.2.1 of the TBT Agreement to ensure that conformity assessment procedures are undertaken and completed as expeditiously as possible;
- ❑ regarding the claims under Article 5.6 of the TBT Agreement, the European Union acted inconsistently with: (i) Article 5.6.1 of the TBT Agreement by failing to publish a notice of the proposed low ILUC-risk certification procedure at an early appropriate stage in such a manner as to enable interested parties in Indonesia and other WTO Members to become acquainted with it; (ii) Article 5.6.2 of the TBT Agreement by failing to notify the proposed low ILUC-risk certification procedure; and (iii) Article 5.6.4 of the TBT Agreement by having failed to organize a commenting process in respect of the proposed low ILUC-risk certification procedure in accordance with the requirements of that provision;
- ❑ it was unnecessary to rule on Indonesia’s alternative claim that the European Union acted inconsistently with the obligation in Article 5.8 of the TBT Agreement to ensure that conformity assessment procedures which have been adopted are published promptly or otherwise made available in such a manner as to enable interested parties in other Members to become acquainted with them;
- ❑ Indonesia failed to establish that the European Union acted inconsistently with Article 12.3 or 12.1 of the TBT Agreement;
- ❑ Indonesia had not established that the high ILUC-risk cap and phase-out was inconsistent with the obligation in Article XI:1 of the GATT 1994 to not institute or maintain any prohibitions or restrictions on the importation of any product of the territory of another Member;
- ❑ the high ILUC-risk cap and phase-out was inconsistent with Article III:4 of the GATT 1994 because it accorded less favourable treatment to palm oil-based biofuel from Indonesia than that accorded to like products of EU origin;
- ❑ the high ILUC-risk cap and phase-out was inconsistent with Article I:1 of the GATT 1994 because it did not accord an advantage to palm oil-based biofuel from Indonesia that was accorded to like products imported from third countries;
- ❑ the European Union acted inconsistently with Article X:3(a) of the GATT 1994 by administering the high ILUC-risk cap and phase-out in Article 26 of RED II in a manner that was not reasonable, to the extent that deficiencies in the design and implementation of the low ILUC-risk criteria and procedure did not provide for the elements needed for palm oil-based biofuel to be certified as low ILUC-risk;
- ❑ with respect to Article XX of the GATT 1994: (i) the high ILUC-risk cap and phase-out was a measure relating to the conservation of exhaustible natural resources

that was made effective in conjunction with restrictions on domestic consumption or production within the meaning of Article XX(g); (ii) the high ILUC-risk cap and phase-out was a measure necessary to protect human, animal or plant life or health within the meaning of Article XX(b); (iii) it was unnecessary to rule on whether the high ILUC-risk cap and phase-out was a measure necessary to protect public morals under Article XX(a); and (iv) the high ILUC-risk cap and phase-out had been administered in a manner that constituted arbitrary or unjustifiable discrimination between countries where the same conditions prevail, because the European Union failed to conduct a timely review of the data used to determine which biofuels were high ILUC risk, and because there were deficiencies in the design and implementation of the low ILUC-risk criteria and certification procedure;

With regard to the French TIRIB measure, the Panel found that:

- ❑ by excluding palm oil-based biofuel from the group of qualifying biofuels, the French TIRIB measure was inconsistent with Article III:2, first sentence of the GATT 1994, because it resulted in the application of internal taxes to imported palm oil-based biofuel in excess of those applied to the like domestic rapeseed and soybean oil crop-based biofuels;
- ❑ by excluding palm oil-based biofuel from the group of qualifying biofuels, the French TIRIB measure was inconsistent with Article III:2, second sentence of the GATT 1994, because it resulted in dissimilar taxation between imported palm oil-based biofuel and the directly competitive or substitutable domestic rapeseed and soybean oil crop-based biofuels, and this dissimilar taxation was applied so as to afford protection to domestic production;
- ❑ by excluding palm oil-based biofuel from the group of qualifying biofuels, the French TIRIB measure was inconsistent with Article I:1 of the GATT 1994, because it granted an advantage to imported rapeseed and soybean oil crop-based biofuels that was not immediately and unconditionally accorded to like palm oil-based biofuel imported from Indonesia;
- ❑ with respect to Article XX of the GATT 1994: (i) the exclusion of palm oil-based biofuel from the group of qualifying biofuels for the purposes of the French TIRIB measure was a measure relating to the conservation of exhaustible natural resources that was made effective in conjunction with restrictions on domestic consumption or production within the meaning of Article XX(g); (ii) the exclusion of palm oil-based biofuel from the group of qualifying biofuels for the purposes of the French TIRIB measure was a measure necessary to protect human, animal or plant life or health within the meaning of Article XX(b); (iii) it was unnecessary to rule on whether the exclusion of palm oil-based biofuel from the group of qualifying biofuels for the purposes of the French TIRIB measure was a measure necessary to protect public morals under Article XX(a); and (iv) the exclusion of palm oil-based biofuel from the group of qualifying biofuels for the purposes of the French TIRIB measure had been administered in a manner that constituted arbitrary or unjustifiable discrimination between countries where the same conditions prevail because the European Union failed to conduct a timely review of the data used to determine which biofuels were high ILUC risk, and had failed to demonstrate the existence of any provisions or flexibilities for palm oil-based biofuels to be certified as low ILUC-risk; and
- ❑ Indonesia failed to establish that the French TIRIB measure provided a prohibited subsidy within the meaning of Articles 3.1 and 3.2 of the SCM Agreement, or in the alternative a specific subsidy that caused adverse effects in the form of serious prejudice or a threat thereof under Articles 5(c), 6.3(a) and 6.3(c) of the SCM Agreement.

At its meeting on 24 February 2025, the DSB adopted the panel report.

Reasonable period of time

On 24 March 2025, the European Union informed the DSB that it intended to implement the recommendations and rulings of the DSB in a manner consistent with its WTO obligations and that it would need a reasonable period of time to do so.

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 - ❑ Oil Palm Crop-Based Biofuels (https://www.wto.org/english/tratop_e/dispu_e/dispu_subjects_index_e.htm?id=G251)
 - ❑ Indonesia (https://www.wto.org/english/tratop_e/dispu_e/dispu_by_country_e.htm#idn)
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- ❑ General Agreement on Tariffs and Trade 1994 (https://www.wto.org/english/tratop_e/dispu_e/dispu_agreements_index_e.htm?id=A9)
 - ❑ Agreement on Subsidies and Countervailing Measures
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